

# SALT Nexus Reference Guide (Synthetic)

**ILLUSTRATIVE ONLY.** The thresholds and rules below are invented for a software demo and are not a statement of any state's law. Consult current authoritative guidance for actual thresholds.

## 1. Physical presence nexus

A business generally has physical presence nexus in a state if it maintains an office, stores inventory in the state (including inventory held at a third-party fulfillment or 3PL warehouse), or has employees or agents working in the state. Remote employees working from home offices are commonly treated as creating physical presence. Regular in-state visits by sales representatives, including independent contractors acting on the company's behalf, may also create nexus.

## 2. Economic nexus

After the 2018 *Wayfair* decision, states may require remote sellers to collect sales tax once sales into the state exceed a threshold measured over the previous or current calendar year. Some states use a sales threshold only; others combine sales with a transaction count using either an AND or an OR rule.

| State           | Sales threshold (USD) | Transaction threshold | Rule                   |
|-----------------|-----------------------|-----------------------|------------------------|
| California (CA) | 500,000               | n/a                   | sales                  |
| Colorado (CO)   | 100,000               | n/a                   | sales                  |
| Florida (FL)    | 100,000               | n/a                   | sales                  |
| New York (NY)   | 500,000               | 100                   | sales_and_transactions |
| Texas (TX)      | 500,000               | n/a                   | sales                  |
| Washington (WA) | 100,000               | 200                   | sales_or_transactions  |

## 3. Registration and marketplace facilitators

Once nexus exists, the seller must register and begin collecting. Sales made through a marketplace that collects on the seller's behalf are usually excluded from the seller's own collection obligation but are typically still counted toward economic nexus thresholds. Holding inventory in a state through a 3PL does not remove the seller's registration obligation.